

NIKE, INC.

Equity Research & Valuation Report

NYSE: NKE

VALUATION SNAPSHOT

Current Price	Target Price	Upside	DCF Value	Trading Comps
\$35.51	\$39.70	11.8%	\$43.54	\$35.86

Scenario Range: \$31.02 – \$50.81

Bear / Base / Bull: \$31.02 / \$39.70 / \$50.81

INVESTMENT VIEW

BUY

Base Case Target: \$39.70

Upside: 11.8%

INVESTMENT THESIS

1. Revenue Recovery 4.0% annual revenue growth is assumed through FY2031E.	2. Margin Recovery Operating margin expands from 8.3% to 10.0%.	3. Valuation Upside Base-case valuation of \$39.70 versus \$35.51 current price.
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Prepared by: Paridhi Jain

Valuation Date: September 18, 2026

Company: NIKE, Inc.

1. Company Overview

1.1 Business Overview

NIKE, Inc. is a global sportswear company engaged in the design, development, marketing and sale of athletic footwear, apparel, equipment and accessories. The company operates primarily through the NIKE Brand and Converse, with products distributed through wholesale partners and NIKE Direct channels.

Nike operates across four major geographic markets: North America, Europe, Middle East & Africa (EMEA), Greater China, and Asia Pacific & Latin America (APLA). Its business model combines product innovation, global brand marketing and a multi-channel distribution network spanning physical retail, digital commerce and wholesale partners.

1.2 Business Model

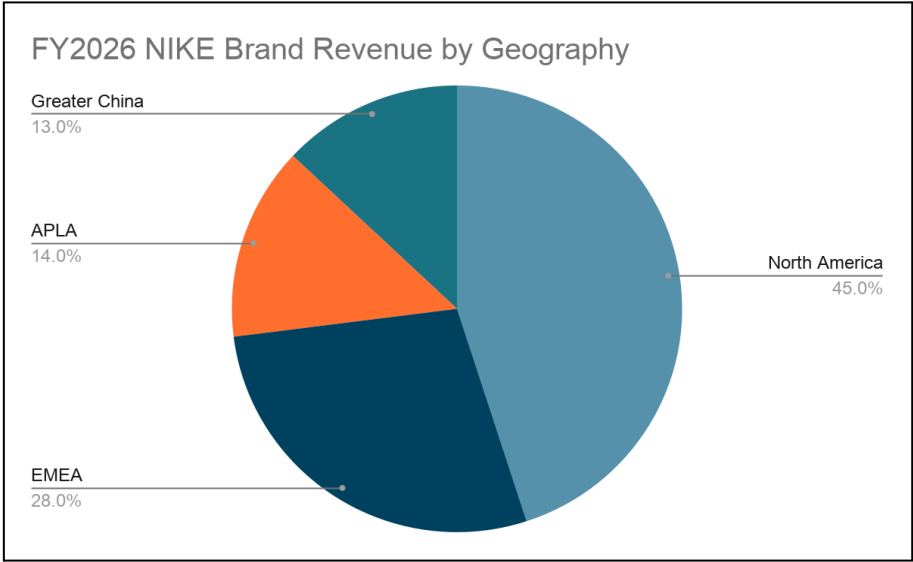
Product	Distribution	Brands
Footwear	Wholesale	NIKE
Apparel	NIKE Direct	Jordan
Equipment	Digital	Converse
Accessories	Company-owned stores	Other NIKE Brand businesses

FY2026 NIKE Brand revenue mix: 65% footwear, 30% apparel and 5% equipment; 61% wholesale and 39% NIKE Direct.

1.3 Geographic Revenue Mix

Nike’s geographic diversification provides exposure to multiple consumer markets, with North America remaining the largest NIKE Brand market in FY2026. Greater China remains an important international market but experienced weaker revenue performance during the year.

Figure 1. FY2026 NIKE Brand Revenue by Geography



1.4 Company Snapshot

Table 1: Snapshot of Nike in FY2026

Metric	FY2026
Total Revenue	\$46.4B
NIKE Brand Revenue	\$45.2B
NIKE Direct Revenue	\$17.7B
Wholesale Revenue	\$27.5B
Footwear Revenue	\$29.5B
Apparel Revenue	\$13.4B

These figures are reported in Nike’s FY2026 annual report.

2. Industry Overview

2.1 Global Athletic Apparel & Footwear Industry

The global sportswear industry has become an increasingly important segment of the broader apparel and footwear market, supported by rising participation in sports and wellness activities, the continued casualization of clothing and growing consumer interest in performance-oriented products. In 2025, sportswear accounted for more than one in five apparel and footwear products sold globally.

The category is also becoming more competitive as established global brands face pressure from emerging sportswear companies, regional players and changing consumer preferences. Brands are increasingly competing through product innovation, digital engagement, direct-to-consumer distribution and differentiated brand positioning.

2.2 Industry Growth

~5% 2025–2030 CAGR	>\$500B 2030 MARKET	>1 IN 5 2025 SHARE
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2.3 Key Industry Trends

01 - Direct-To-Consumer & Digital

Sportswear companies continue to expand direct-to-consumer channels through e-commerce and company-owned stores. Digital commerce has become an important component of brand engagement, customer acquisition and distribution.

02 - Athleisure & Wellness

The continued blending of athletic and everyday apparel has expanded the addressable market for sportswear. Wellness and health-oriented lifestyles are also supporting demand for sportswear products.

03 - Premiumization & Product Innovation

Consumers are becoming more selective about purchases, increasing the importance of performance, durability and differentiated product features. Brands are using innovation and premium positioning to justify higher prices.

04 - Regional Competition

Growth is increasingly uneven across geographies. Euromonitor expects Asia Pacific to be the fastest-growing sportswear region through 2030, while North America remains the largest market.

2.4 Competitive Landscape

The global sportswear market is highly competitive, with Nike competing against established multinational brands including Adidas, Puma and Under Armour, as well as specialized and rapidly

growing competitors such as lululemon. Competition spans product innovation, brand strength, pricing, wholesale relationships, digital channels and geographic reach.

Competitive intensity is also increasing as emerging brands and regional players gain visibility, particularly in faster-growing Asian markets. This creates both growth opportunities and potential market-share pressure for established brands such as Nike. Euromonitor expects Chinese sportswear companies to become increasingly important competitors in global markets through 2030.

3. Investment Thesis

Investment View: Nike is positioned for a gradual earnings recovery following the FY2025–FY2026 revenue reset, with the investment case dependent on renewed revenue growth, operating-margin expansion and stabilization across key international markets.

3.1 Gradual Revenue Recovery

Nike's revenue declined from \$51.4 billion in FY2024 to \$46.3 billion in FY2025, before stabilizing at approximately \$46.4 billion in FY2026. Our base case assumes that the revenue decline has largely stabilized and that Nike returns to moderate growth as product innovation, marketplace normalization and channel execution improve.

We forecast 4.0% annual revenue growth from FY2027E through FY2031E, resulting in revenue of approximately \$56.5 billion by FY2031E. This assumption represents a gradual recovery rather than a return to the higher growth rates observed earlier in the historical period.

3.2 Margin & Cash Flow Recovery

Nike's profitability weakened materially during FY2025 and remained below FY2024 levels in FY2026. Operating margin declined from 12.7% in FY2024 to 8.2% in FY2025, before improving modestly to 8.3% in FY2026.

Our model assumes operating margin gradually recovers to 10.0% by FY2027E and remains at that level through FY2031E. Gross margin is forecast to improve from 42.9% in FY2026A to 44.0% by FY2031E, supported by improved product and channel mix and lower promotional intensity.

This margin recovery drives operating income from approximately \$3.9 billion in FY2026A to \$5.6 billion by FY2031E, while free cash flow increases as earnings recover.

3.3 Valuation Supports Upside

Nike's current valuation provides potential upside if the company executes on the assumed recovery. Our five-year DCF produces an implied value of \$43.54 per share, while the trading comparables analysis produces an implied value of \$35.86 per share.

Under our Base Case scenario, which assumes 4.0% revenue growth, a 10.0% operating margin, a 9.0% WACC and a 2.5% terminal growth rate, we derive a target price of \$39.70 per share.

At the \$35.51 current share price, this represents approximately 11.8% upside.

3.4 What Needs To Go Right

01 - Revenue

NIKE Direct stabilizes: Digital and store performance stop declining materially.

02 - Margins

Gross margin recovers: Improved product/channel mix and lower promotional pressure support profitability.

03 - China

Greater China stabilizes: The region begins contributing to growth rather than remaining a drag on consolidated results.

4. Historical Financial Analysis

4.1 Revenue & Growth

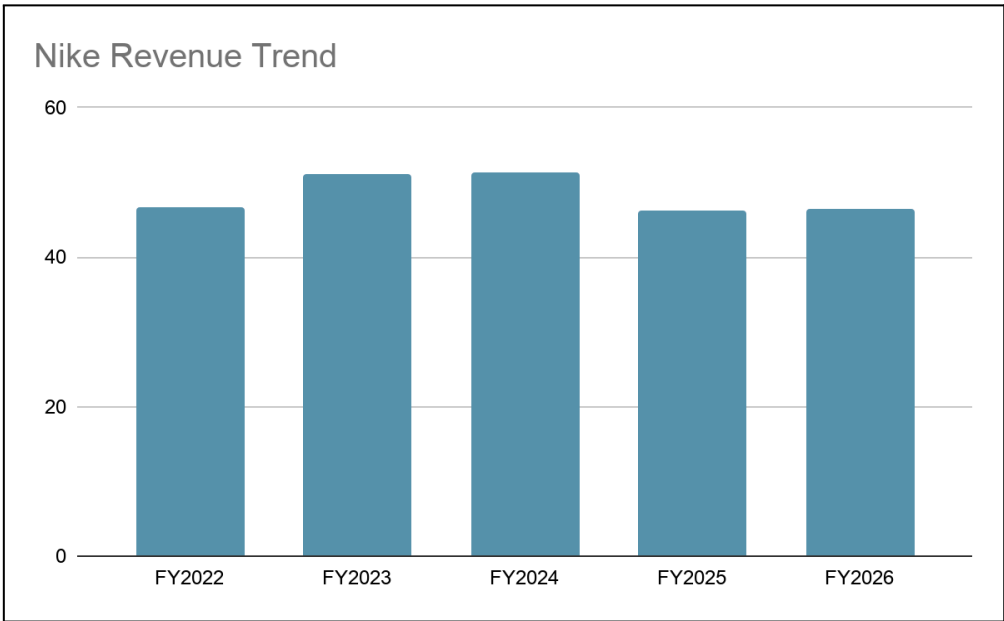
Nike’s revenue growth has weakened materially over the past three fiscal years. Revenue increased from \$46.7 billion in FY2022 to \$51.4 billion in FY2024, before declining to \$46.3 billion in FY2025. Revenue then stabilized at approximately \$46.4 billion in FY2026, representing only 0.2% year-over-year growth.

The historical trend highlights the central issue underlying the investment case: Nike must transition from revenue stabilization to sustainable growth. The company’s ability to return to moderate growth is therefore a key assumption in our FY2027E–FY2031E forecast.

Table 2. Nike Historical Revenue & Growth

	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A
Revenue (\$bn)	46.7	51.2	51.4	46.3	46.4
Revenue Growth	-	9.6%	0.3%	(9.8%)	0.2%

Figure 2. Nike Revenue Trend



Key Takeaways

01 - FY2024 Peak

Revenue reached \$51.4B in FY2024, representing the high point of the five-year period shown.

02 - FY2025 Reset

Revenue declined 9.8% in FY2025, marking the largest contraction in the historical period.

03 - FY2026 Stabilisation

Revenue increased only 0.2% in FY2026, indicating stabilization but not yet a meaningful return to growth.

INVESTMENT IMPLICATION

Nike's FY2026 revenue stabilization provides a base for recovery, but the valuation depends on the company converting stabilization into sustained mid-single-digit growth over the forecast period.

4.2 Profitability

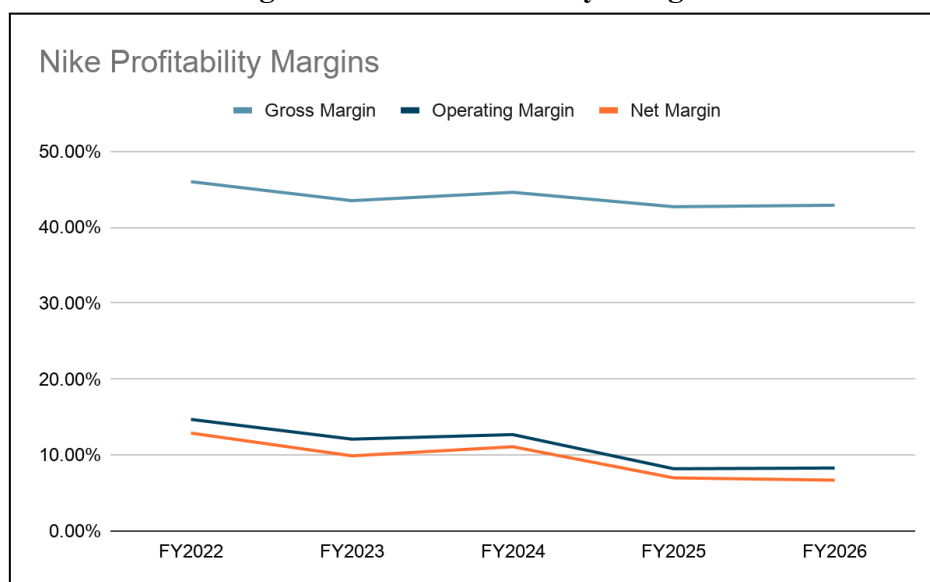
Nike's profitability deteriorated significantly following FY2024 as lower revenue, changes in product and channel mix, higher promotional activity and operating pressures weighed on earnings. Gross margin declined from 44.6% in FY2024 to 42.7% in FY2025, before recovering modestly to 42.9% in FY2026.

Operating margin followed a similar pattern, declining from 12.7% in FY2024 to 8.2% in FY2025 and improving slightly to 8.3% in FY2026. Net margin declined from 11.1% to 7.0% and then 6.7% over the same period. The compression in profitability is therefore a key driver of the earnings-recovery thesis.

Table 3. Nike Historical Profitability

	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A
Gross Profit (\$bn)	21.5	22.3	22.9	19.8	19.9
Gross Margin	46.0%	43.5%	44.6%	42.7%	42.9%
Operating Income (\$bn)	6.9	6.2	6.5	3.8	3.9
Operating Margin	14.7%	12.1%	12.7%	8.2%	8.3%
Net Income (\$bn)	6.0	5.1	5.7	3.2	3.1
Net Margin	12.9%	9.9%	11.1%	7.0%	6.7%

Figure 3. Nike Profitability Margins



Key Profitability Drivers

01 - Gross Margin Pressure

Nike's FY2025 gross margin decline was driven in part by lower NIKE Brand average selling prices, higher discounts and changes in channel mix, alongside higher other costs.

02 - Operating Expense Pressure

Selling and administrative expenses remained elevated relative to the lower revenue base, limiting operating leverage and contributing to the decline in operating margin.

03 - Limited FY2026 Recovery

Although gross margin improved slightly to 42.9% in FY2026, operating margin increased only to 8.3%, while net income declined to \$3.1B from \$3.2B in FY2025.

INVESTMENT IMPLICATION

Nike's earnings recovery depends not only on revenue growth but also on rebuilding the profitability lost during FY2025. Our forecast therefore assumes gradual gross-margin and operating-margin improvement through the forecast period.

4.3 Cash Flow

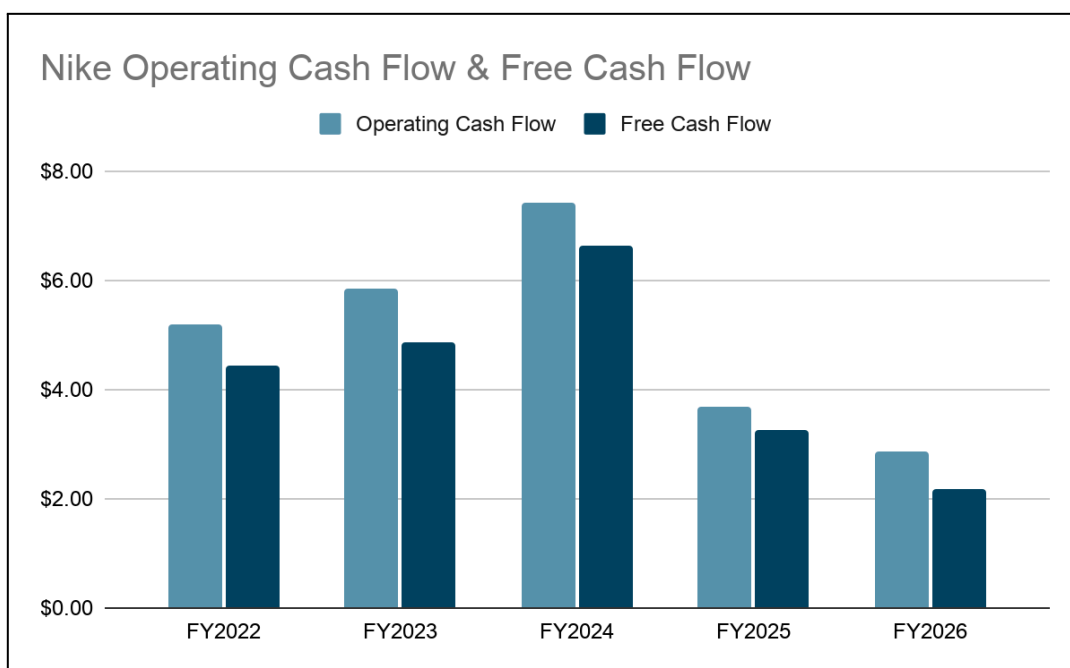
Nike's cash generation weakened materially alongside the decline in profitability. Operating cash flow increased from \$5.2 billion in FY2022 to \$7.4 billion in FY2024, before declining to \$3.7 billion in FY2025 and \$2.9 billion in FY2026. The FY2026 decline was driven in part by lower net income and a \$1.678 billion decrease in cash from changes in certain working-capital components and other assets and liabilities.

Capital expenditures remained relatively modest at \$684 million in FY2026, resulting in historical free cash flow of approximately \$2.2 billion based on operating cash flow less capital expenditures.

Table 4. Nike Historical Cash Flow

	FY2022A	FY2023A	FY2024A	FY2025A	FY2026A
Operating Cash Flow (\$bn)	5.2	5.8	7.4	3.7	2.9
Capital Expenditure (\$bn)	0.8	1.0	0.8	0.4	0.7
Free Cash Flow (\$bn)	4.4	4.9	6.6	3.3	2.2
FCF Margin	9.5%	9.5%	12.9%	7.1%	4.7%

Figure 4. Nike Operating Cash Flow & Free Cash Flow



Key Cash Flow Drivers

01 - Operating Cash Flow Decline

Operating cash flow fell from \$7.4B in FY2024 to \$2.9B in FY2026, reflecting weaker earnings and working-capital pressure.

02 - Low Capital Intensity

Capital expenditure was only \$684M in FY2026, meaning the decline in FCF was primarily driven by weaker operating cash generation rather than a sharp increase in capital spending.

03 - FCF Recovery Potential

Our forecast assumes that FCF improves as operating income and earnings recover, reaching approximately \$4.4B by FY2031E.

INVESTMENT IMPLICATION

Nike's historical cash generation has weakened materially alongside earnings. The investment case therefore requires both revenue recovery and improved conversion of earnings into free cash flow.

4.4 Balance Sheet & Financial Position

Nike maintained a relatively strong liquidity position at the end of FY2026 despite the deterioration in earnings and cash generation. The company had \$7.6 billion of cash and equivalents and \$1.5 billion of short-term investments, providing substantial liquidity relative to its debt obligations. Total debt was approximately \$7.9 billion, consisting of \$2.0 billion of current debt and \$5.9 billion of long-term debt.

Shareholders' equity increased to \$14.9 billion in FY2026, compared with \$13.2 billion in FY2025. Overall, Nike's balance sheet provides financial flexibility while the company works through its operating recovery.

Table 5. Nike Balance Sheet Snapshot

Metric	FY2025A	FY2026A
Cash & Equivalents (\$bn)	7.5	7.6
Short-Term Investments (\$bn)	1.7	1.5
Total Debt (\$bn)	8.0	7.9
Shareholders' Equity (\$bn)	13.2	14.9
Total Assets (\$bn)	36.6	38.4

The FY2025 and FY2026 balance-sheet figures come directly from Nike's consolidated balance sheets.

Net Cash Position

Our DCF incorporates net debt/(cash) of \$(3.085)B when moving from enterprise value to equity value.

DCF Adjustment

- Enterprise Value: \$61.5B
- Net Debt/(Cash): \$(3.1)B
- Equity Value: \$64.6B

Key Balance Sheet Observations

01 - Strong Liquidity

Cash and equivalents plus short-term investments totaled approximately \$9.0B at FY2026 year-end, providing a meaningful liquidity buffer.

02 - Manageable Debt

Total debt was approximately \$7.9B, below the company's cash and short-term investment balance.

03 - Equity Base Improved

Shareholders' equity increased from \$13.2B to \$14.9B between FY2025 and FY2026.

INVESTMENT IMPLICATION

Nike's balance sheet provides liquidity and financial flexibility during the operating recovery. The relatively strong cash position also reduces the financial risk embedded in the DCF valuation.

5. Financial Forecast

5.1 Revenue Forecast

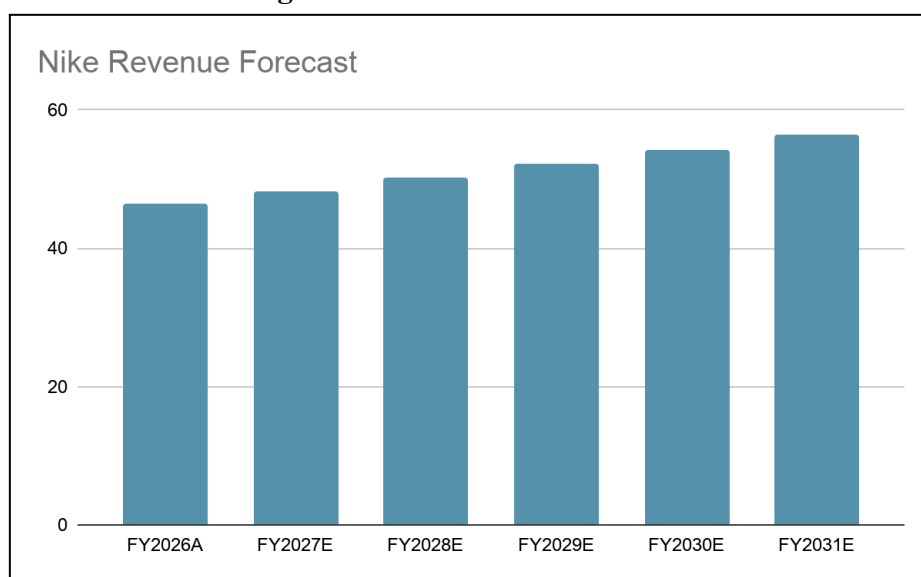
Following the stabilization of revenue in FY2026, our model assumes a gradual return to growth rather than an immediate recovery to Nike's historical growth rates. We forecast 4.0% annual revenue growth from FY2027E through FY2031E, resulting in revenue increasing from approximately \$46.4 billion in FY2026A to \$56.5 billion by FY2031E.

The forecast assumes that stabilization in NIKE Direct, continued wholesale growth, product innovation and gradual improvement across international markets support a moderate recovery in consolidated revenue.

Table 6. Nike Revenue Forecast

	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue (\$bn)	46.4	48.3	50.2	52.2	54.3	56.5
Growth	0.2%	4.0%	4.0%	4.0%	4.0%	4.0%

Figure 5. Nike Revenue Forecast



Revenue Forecast Drivers

01 - Nike Direct Stabilization

Our forecast assumes NIKE Direct moves from recent declines toward stabilization as digital and store performance improve.

02 - Wholesale Recovery

Continued wholesale growth provides an important contributor to consolidated revenue recovery. Nike's FY2026 wholesale revenue increased 6% on a reported basis, while NIKE Direct revenue declined 6%.

03 - International Recovery

Gradual improvement in international markets, particularly Greater China, supports the return to consolidated revenue growth.

Base Case Revenue Assumption

4.0% annual growth from FY2027E through FY2031E.

This represents a gradual recovery scenario rather than a return to Nike's historical peak growth rates.

5.2 Margin Forecast

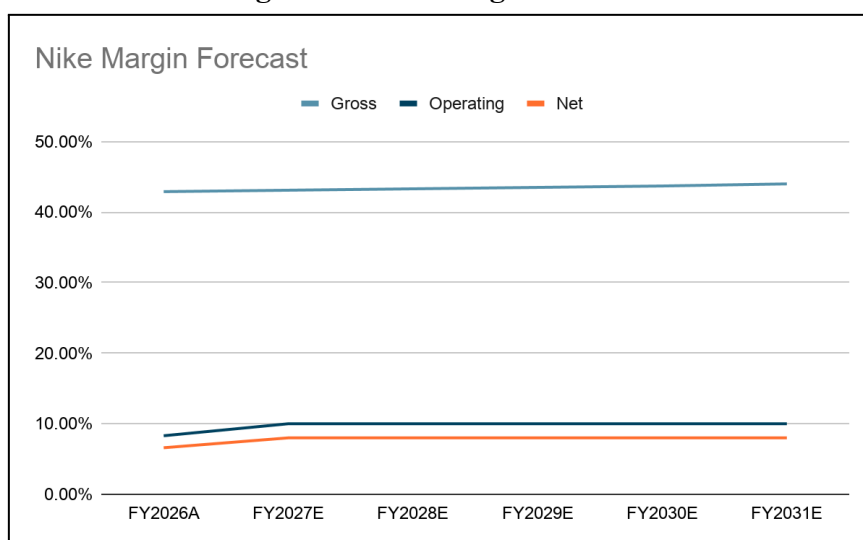
Nike's profitability is expected to recover gradually as revenue growth resumes and gross-margin pressure moderates. Our model forecasts gross margin increasing from 42.9% in FY2026A to 44.0% by FY2031E, while operating margin improves from 8.3% to 10.0% over the same period.

The forecast assumes that improving product and channel mix, lower promotional intensity and greater operating leverage support margin expansion as revenue recovers. The model does not assume a return to Nike's historical peak operating margins, resulting in a relatively moderate recovery.

Table 7. Nike Margin Forecast

\$bn	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Gross Margin	42.9%	43.1%	43.3%	43.5%	43.7%	44.0%
Operating Margin	8.3%	10.0%	10.0%	10.0%	10.0%	10.0%
Net Margin	6.6%	8.0%	8.0%	8.0%	8.0%	8.0%

Figure 6. Nike Margin Forecast



Margin Recovery Drivers

01 - Gross Margin

Gross margin increases gradually from 42.9% to 44.0%, reflecting an assumption of improved product and channel mix and reduced promotional pressure.

02 - Operating Leverage

Operating margin reaches 10.0% as revenue growth allows fixed operating costs to be spread across a larger revenue base.

03 - Earnings Conversion

Net margin improves from 6.6% to 8.0%, supporting the recovery in net income and free cash flow.

\$3.85B → \$4.83B → \$5.65B
FY2026A FY2027E FY2031E
Operating Income

INVESTMENT IMPLICATION

The forecast assumes a measured margin recovery rather than a return to Nike's historical peak profitability. The resulting expansion in operating income is an important driver of the DCF valuation.

5.3 Earnings Forecast

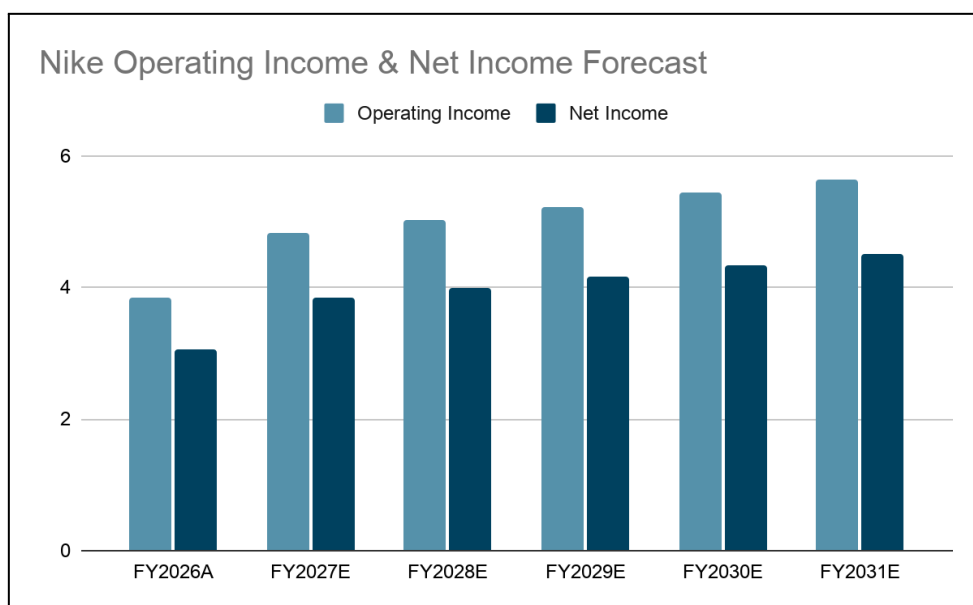
Our earnings forecast reflects the combination of moderate revenue growth and gradual margin recovery. Operating income is forecast to increase from approximately \$3.9 billion in FY2026A to \$5.6 billion by FY2031E, while net income increases from approximately \$3.1 billion to \$4.5 billion over the same period.

The model applies a 20.3% tax rate across the forecast period. As operating income and margins recover, earnings are expected to grow faster than revenue during the initial recovery period.

Table 8. Nike Earnings Forecast

Sbn	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Revenue	46.4	48.3	50.2	52.2	54.3	56.5
Operating Income	3.9	4.8	5.0	5.2	5.4	5.6
Operating Margin	8.3%	10.0%	10.0%	10.0%	10.0%	10.0%
Net Income	3.1	3.8	4.0	4.2	4.3	4.5
Net Margin	6.6%	8.0%	8.0%	8.0%	8.0%	8.0%

Figure 7. Nike Operating Income & Net Income Forecast



Earnings Recovery Drivers

01 - Revenue Growth

The 4.0% annual revenue growth assumption increases the operating base from \$46.4B to \$56.5B.

02 - Operating Margin Expansion

Operating margin increases from 8.3% to 10.0%, producing greater operating income growth than revenue growth during the initial recovery.

03 - Tax & Net Income

A 20.3% tax rate is applied across the forecast period, resulting in net income increasing from approximately \$3.1B to \$4.5B.

INVESTMENT IMPLICATION

The earnings recovery is driven by both revenue growth and operating-margin expansion. This combination is central to the improvement in Nike's intrinsic value under our DCF framework.

5.4 Free Cash Flow Forecast

Our free cash flow forecast is based on the recovery in operating income and assumes a gradual normalization of cash conversion as Nike's earnings recover. Forecast free cash flow is derived from NOPAT, depreciation and amortization, capital expenditure and changes in working capital.

Following historical FY2026A free cash flow of approximately \$2.2 billion, forecast FCF increases to \$3.8 billion in FY2027E and reaches approximately \$4.4 billion by FY2031E.

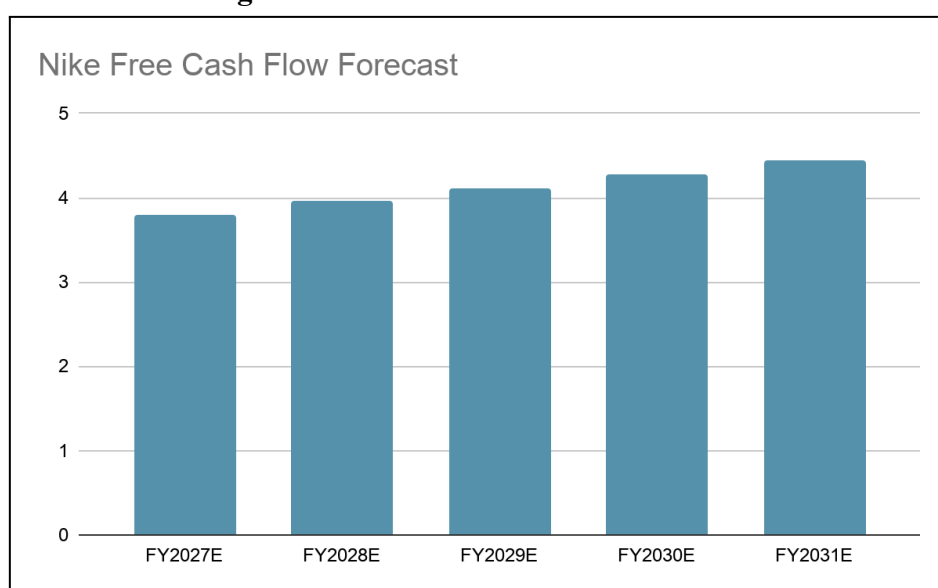
Table 9. Nike Free Cash Flow Forecast

\$bn	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Operating Income	3.85	4.83	5.02	5.22	5.43	5.65

Tax Rate	20.3%	20.3%	20.3%	20.3%	20.3%	20.3%
NOPAT	3.07	3.85	4.00	4.16	4.33	4.50
D&A	0.75	0.08	0.08	0.08	0.09	0.09
Capital Expenditure	0.68	0.07	0.08	0.08	0.08	0.09
Change in Working Capital	1.68	0.05	0.05	0.05	0.05	0.06
Free Cash Flow	1.45*	3.80	3.96	4.11	4.28	4.45

FY2026A FCF of \$1.45B represents the model framework used for the DCF rather than historical reported FCF. Historical FY2026 FCF was approximately \$2.18B based on operating cash flow less capital expenditure.

Figure 8. Nike Free Cash Flow Forecast



FCF Assumptions

D&A Approximately 1.6% of operating income	Capital Expenditure Approximately 1.5% of operating income	Working Capital Approximately 1.0% of operating income
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Tax Rate: 20.3%

FCF Recovery

Forecast FCF increases from \$3.8 billion in FY2027E to \$4.4 billion in FY2031E, reflecting the recovery in operating income and a gradual normalization of the cash requirements associated with

working capital and capital expenditure. The resulting FCF stream provides the foundation for the five-year DCF valuation presented in the following section.

INVESTMENT IMPLICATION

Improving free cash flow is a key component of the recovery thesis because it increases the present value of Nike's future operating cash flows and supports the DCF valuation.

6. Valuation

6.1 Valuation Overview

We value Nike using a combination of a five-year discounted cash flow analysis and trading comparables. The DCF captures the company's expected long-term cash-generation potential, while the comparable-company approach provides a market-based reference point using valuation multiples of selected sportswear peers.

Our DCF produces an implied value of \$43.54 per share, compared with \$35.86 per share from trading comparables. We use the Base Case scenario framework to derive a target price of \$39.70 per share, representing 11.8% upside from the \$35.51 current share price.

Table 10. Valuation Summary

Valuation Method	Implied Value/Share	References
DCF	\$43.54	Intrinsic Value
Trading Comparables	\$35.86	Market-based Value
Base Case Target	\$39.70	Selected Target

Current Share Price: \$35.51
Implied Upside: 11.8%

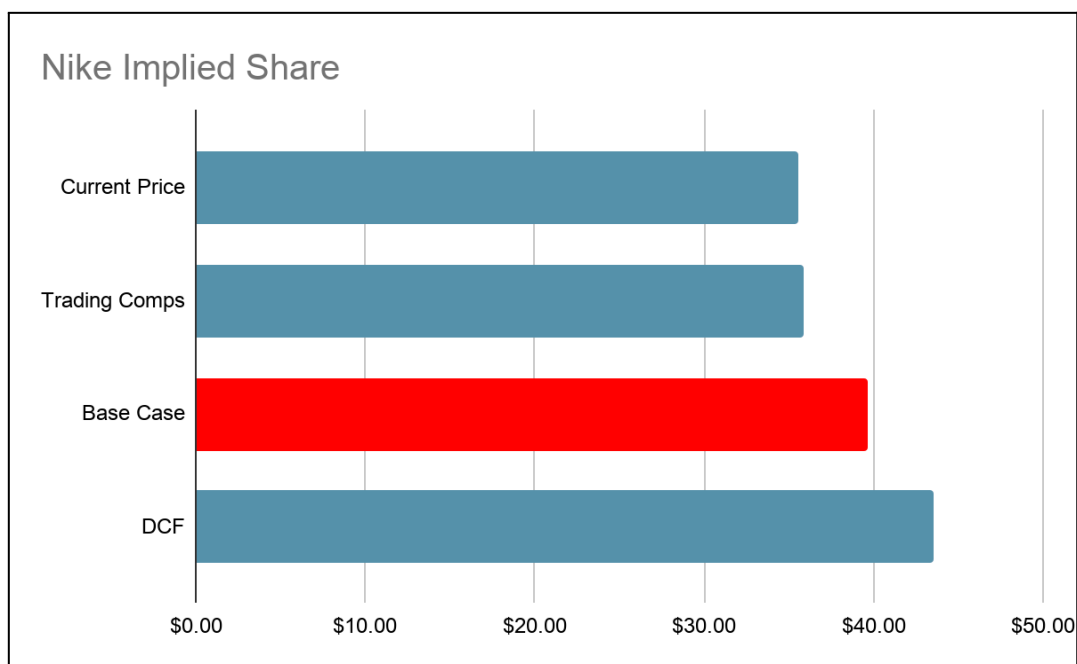
6.1.1 Valuation Methodology

Discounted Cash Flow	Trading Comparables
• Five-year explicit forecast period • FY2027E–FY2031E FCF • 9.0% WACC • 2.5% terminal growth • Enterprise value converted to equity value using net debt/(cash) • Implied value: \$43.54/share	• Adidas • Puma • Lululemon • Under Armour • Peer median valuation multiples • P/E and EV/EBITDA methodologies • Implied value: \$35.86/share

DCF Key Assumptions

WACC 9.0%	Terminal Growth 2.5%	Forecast Period FY2027E-FY2031E	Current Price \$35.51
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Figure 9. Nike Implied Share Price by Valuation Method



6.1.2 Valuation Takeaway

The valuation methodologies produce a range of \$35.86 to \$43.54 per share, with the current share price of \$35.51 near the lower end of this range. Our \$39.70 Base Case target reflects a gradual operating recovery rather than an aggressive return to Nike’s historical growth and profitability levels.

6.2 Discounted Cash Flow Valuation

We use a five-year unlevered discounted cash flow methodology to estimate Nike’s intrinsic equity value. Forecast free cash flow from FY2027E through FY2031E is discounted using a 9.0% WACC, with a 2.5% terminal growth rate applied to calculate terminal value.

The resulting enterprise value is adjusted for net debt/(cash) to derive equity value, which is then divided by shares outstanding to determine the implied value per share.

Table 11. Nike DCF Valuation

\$mm	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
Free Cash Flow	3,802	3,955	4,113	4,277	4,448
Discount Factor	91.7%	84.2%	77.2%	70.8%	65.0%
Present Value of FCF	3,488	3,328	3,176	3,030	2,891

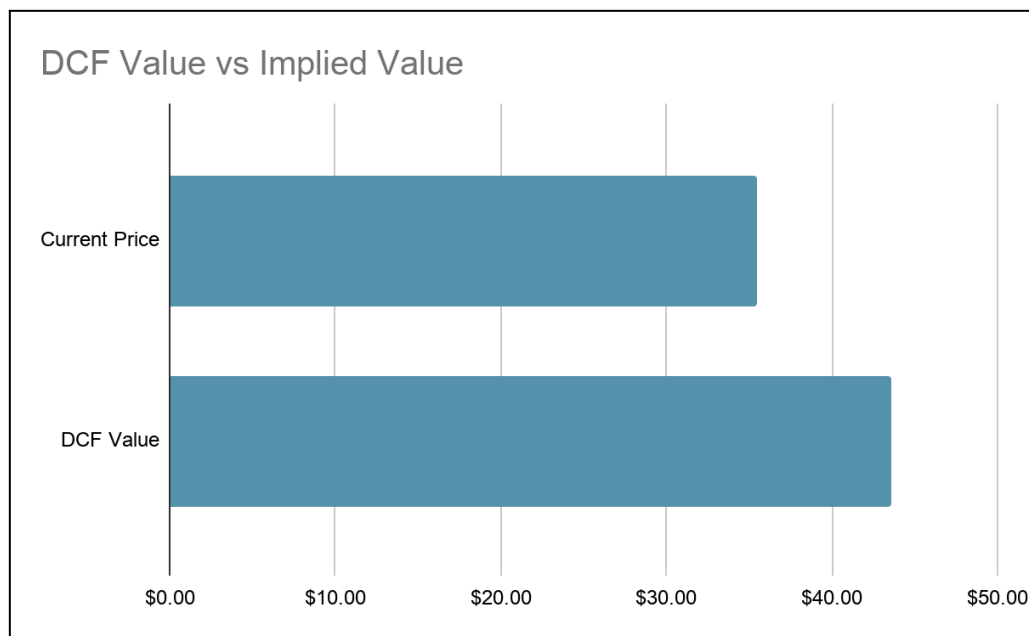
Table 12. DCF Valuation Bridge

Valuation Component	Value
PV of Forecast FCF	\$15.9B

Terminal Value	\$70.1B
PV of Terminal Value	\$45.6B
Enterprise Value	\$61.5B
Net Debt/(Cash)	\$(3.1B)
Equity Value	\$64.6B
Shares Outstanding	1.484B
Implied Share Price	\$43.54

6.2.1 DCF Implied Value vs Current Price

Figure 10. DCF Implied Value vs. Current Price



DCF Implied Upside: 22.6%

6.2.2 DCF Takeaway

The DCF produces an implied value of \$43.54 per share, above the current share price of \$35.51. The result is primarily driven by the assumed recovery in free cash flow and the terminal value, making the valuation particularly sensitive to the WACC and terminal growth assumptions.

6.3 DCF Sensitivity Analysis

The DCF valuation is sensitive to changes in the weighted average cost of capital (WACC) and terminal growth rate. The sensitivity analysis below presents the implied share price across a range of discount rates and terminal growth assumptions, highlighting the impact of changes in long-term valuation inputs.

Table 13. DCF Sensitivity - Implied Share Price

WACC / Terminal Growth	2.0%	2.5%	3.0%
8.0%	\$47.79	\$51.13	\$55.14
9.0%	\$41.20	\$43.54	\$46.26
10.0%	\$36.27	\$37.97	\$39.92

BASE CASE: \$43.54

The base case assumes a 9.0% WACC and 2.5% terminal growth rate, producing an implied value of \$43.54 per share.

6.3.1 What Drives DCF Sensitivity**01 - WACC**

A higher WACC increases the discount applied to future cash flows and reduces implied equity value.

02 - Terminal Growth

A higher terminal growth rate increases the value attributed to Nike's long-term cash flows.

03 - Long-Term FCF

Because terminal value represents a substantial portion of enterprise value, long-term free cash flow assumptions materially influence the DCF outcome.

6.3.2 Valuation Takeaway

The sensitivity analysis indicates that Nike's DCF value remains dependent on the pace of cash-flow recovery and the long-term assumptions applied to the business. The \$43.54 base DCF value is based on a 9.0% WACC and 2.5% terminal growth rate and is used as one component of the overall valuation framework.

6.4 Trading Comparables

We complement the DCF valuation with a trading comparables analysis using selected global athletic apparel and footwear companies. The peer set includes adidas, Puma, lululemon and Under Armour, providing a reference point for Nike's valuation relative to comparable businesses.

Table 14. Trading Comparables

Company	Price	Market Cap	EV	Revenue	EBITDA	P/E	EV/EBITDA
Nike	\$35.51	52,680	54,700	46,400	4,930	17.31x	11.14x
adidas	\$163.02	28,364	33,875	29,840	3,049	18.27x	8.95x

Puma	\$25.21	3,713	6,326	8,011	(19)	N/A	25.70x
lululemon	\$98.06	10,860	11,610	11,090	2,380	8.03x	4.87x
Under Armour	\$4.88	2,100	3,080	4,930	173	N/A	17.78x
Peer Median	-	-	-	-	-	17.31x	10.05x

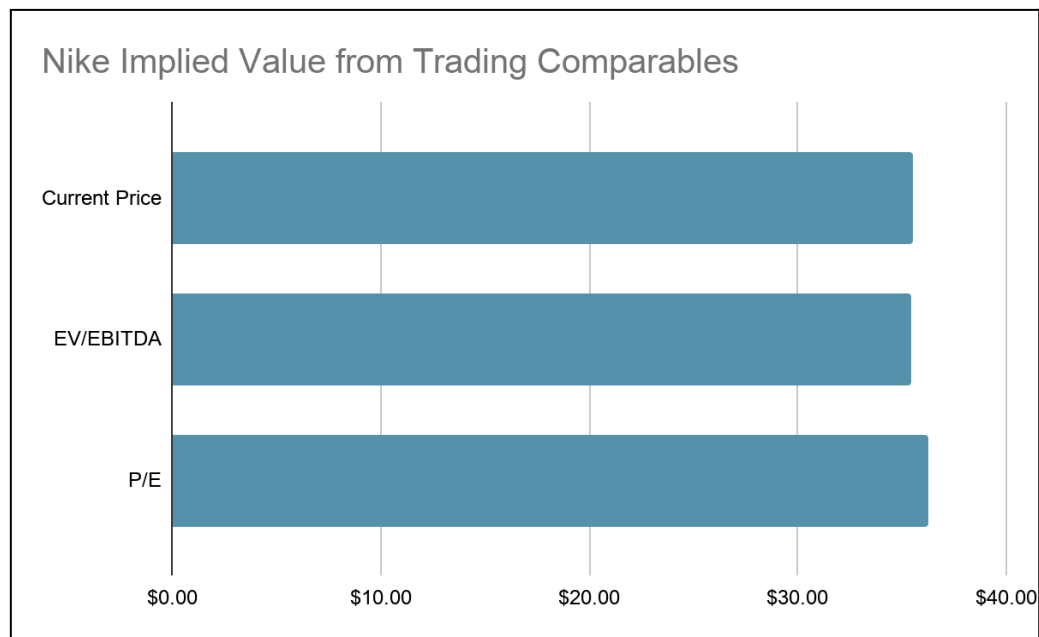
6.4.1 Implied Valuation

Table 15. Implied Valuation

Method	Peer Multiple	Nike Metric	Implied Share Price
P/E	17.31x	Nike EPS	\$36.27
EV/EBITDA	10.05x	Nike EBITDA	\$35.46
Average	-	-	\$35.86

The peer median multiple is applied to Nike's corresponding earnings and EBITDA metrics to estimate implied equity value. The P/E and EV/EBITDA approaches produce implied values of \$36.27 and \$35.46, respectively. Averaging the two methods results in a trading-comparables value of \$35.86 per share.

Figure 11. Nike Implied Value from Trading Comparables



Trading Comparables Value: \$35.86

6.4.2 Trading Comparables Takeaway

Trading comparables indicate a value of \$35.86 per share, broadly consistent with Nike's current share price of \$35.51. Relative valuation therefore provides limited incremental upside on its own, while the DCF captures greater potential value from the modeled recovery in Nike's earnings and free cash flow.

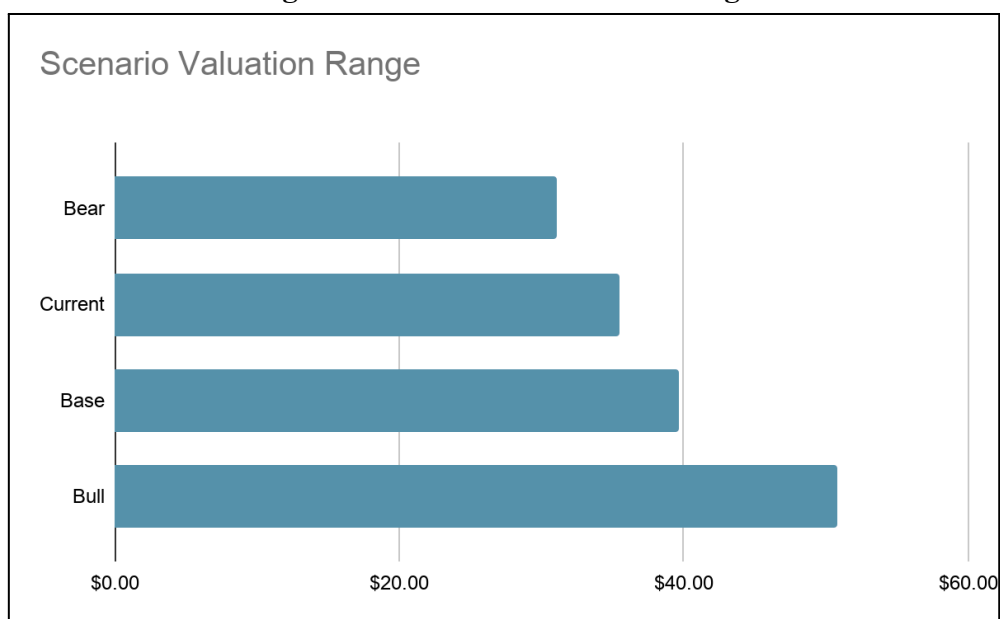
6.5 Scenario Analysis

To assess the range of potential valuation outcomes, we apply three operating scenarios that vary revenue growth, operating margin, terminal growth and WACC. The Base Case reflects gradual business recovery, while the Bear and Bull Cases represent weaker and stronger operating outcomes, respectively.

Table 16. Nike Valuation Scenarios

Assumption / Output	Bear Case	Base Case	Bull Case
Revenue Growth	1.0%	4.0%	6.0%
Operating Margin	8.0%	10.0%	11.0%
Terminal Growth	2.0%	2.5%	3.0%
WACC	10.0%	9.0%	8.0%
DCF Value	\$26.17	\$43.54	\$65.76
Trading Comps	\$35.86	\$35.86	\$35.86
Scenario Value	\$31.02	\$39.70	\$50.81

Figure 12. Scenario Valuation Range



BEAR CASE Slower recovery \$31.02	BASE CASE Gradual recovery \$39.70	BULL CASE Strong recovery \$50.81
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6.5.1 Key Sensitivity Drivers

REVENUE 1% → 4% → 6% Revenue growth assumptions determine the pace of Nike's top-line recovery.	MARGIN 8% → 10% → 11% Operating margin assumptions determine how much revenue recovery translates into operating earnings.	VALUATION \$31.02 → \$50.81 Changes in operating performance and DCF assumptions create a wide range of implied values.
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6.5.2 Scenario Takeaway

The scenario analysis illustrates the valuation impact of different recovery paths. The \$39.70 Base Case combines moderate revenue growth with operating-margin recovery and sits between the Bear Case of \$31.02 and Bull Case of \$50.81. The framework highlights revenue growth, margin recovery and long-term valuation assumptions as the primary drivers of the range.

7. Investment Risks & Catalysts

Nike's valuation depends on a gradual recovery in revenue, operating margins and free cash flow. The primary risks to the investment case relate to demand, geographic performance, competitive pressure and execution, while catalysts center on improved product momentum, channel performance and operating leverage.

7.1 Key Investment Risks

01 - Greater China Weakness

Greater China remains a key source of uncertainty. Continued weakness in the region could limit Nike Brand growth and delay the revenue recovery assumed in the Base Case. Nike reported that Greater China was among the regions contributing to the FY2026 decline in Nike Brand revenue.

02 - Direct-to-Consumer Pressure

NIKE Direct revenue declined 6% in FY2026, with NIKE Brand Digital declining 12%. Continued weakness in digital and owned-store channels could constrain both revenue growth and channel economics.

03 - Competitive Pressure

Nike competes across footwear and apparel against established global brands and regional competitors. Increased promotional activity, changing consumer preferences or stronger product launches from competitors could pressure market share and pricing.

04 - Margin Recovery Risk

The Base Case assumes operating margin improves from 8.3% in FY2026A to 10.0% by FY2031E. Slower gross-margin improvement or higher operating expenses could reduce earnings and free cash flow relative to the forecast.

05 - Tariffs & Supply Chain

Changes in tariffs, trade policy, sourcing costs or supply-chain conditions could affect product costs and gross margins. Nike's FY2026 results included the effect of expected IEEPA tariff recoveries, highlighting the potential importance of trade policy to reported profitability.

06 - Consumer Demand

A weaker global consumer environment could reduce discretionary spending on athletic footwear and apparel, slowing the revenue recovery assumed in the model.

7.2 Potential Catalysts

01 - Product Innovation

Successful new product launches and stronger performance-product momentum could support traffic, sell-through and revenue growth. Nike's management specifically highlighted progress in performance product in its FY2026 results.

02 - Wholesale Recovery

Wholesale revenue increased 6% in FY2026. Continued wholesale momentum could provide a more stable source of revenue growth while the Direct business recovers.

03 - Gross-Margin Expansion

Gross margin increased to 42.9% in FY2026. Further improvement through product mix, pricing, channel mix and lower promotional pressure could support operating leverage.

04 - Operating Leverage

If revenue growth resumes while operating expenses grow more slowly than sales, Nike could achieve the 10.0% operating-margin assumption in the Base Case.

Table 17. Investment Risk & Catalyst Framework

Risk	Model Variable	Catalyst
China weakness	Revenue growth	China stabilization
Direct pressure	Revenue/mix	Digital recovery
Competition	Revenue/margin	Product innovation
Margin pressure	Operating margin	Operating leverage
Tariffs	Gross margin	Cost normalization
Consumer weakness	Revenue growth	Demand recovery

7.3 Key Valuation Sensitivities

The most important assumptions for the valuation are revenue growth, operating margin, WACC and terminal growth. These variables directly affect Nike's forecast earnings and free cash flow and therefore have a significant influence on the DCF valuation.

Revenue Growth 4.0% Base Case	Operating Margin 10.0% Base Case	WACC 9.0% Base Case	Terminal Growth 2.5% Base Case
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RISK / REWARD FRAMEWORK

The investment case depends on Nike converting its recent stabilization into sustained revenue and margin recovery. The principal downside risks are weaker demand, continued regional weakness and slower margin expansion, while improved product momentum, wholesale growth and operating leverage could support the assumptions underlying the Base Case.

8. Investment Conclusion

8.1 Investment View

Nike's investment case is centered on a gradual recovery in revenue, operating margins and free cash flow following the FY2025 downturn. Our Base Case assumes 4.0% annual revenue growth through FY2031E and operating-margin expansion from 8.3% in FY2026A to 10.0%, supporting an increase in free cash flow from \$3.8B in FY2027E to \$4.4B in FY2031E.

The valuation framework combines a five-year DCF with trading comparables. The DCF produces an implied value of \$43.54 per share, while trading comparables indicate \$35.86. Applying equal weighting results in a Base Case target of \$39.70, compared with the current share price of \$35.51.

Table 18. Valuation Summary

Valuation Method	Implied Value
DCF	\$43.54
Trading Comparables	\$35.86
Base Case Target	\$39.70
Current Share Price	\$35.51
Implied Upside	11.8%

Scenario Range

BEAR \$31.02	BASE \$39.70	BULL \$50.81
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Current Price - \$35.51

8.2 Investment Thesis Recap

01 - Revenue Recovery

Revenue is modeled to recover from \$46.4B in FY2026A to \$56.5B by FY2031E, representing approximately 4.0% annual growth.

02 - Margin Recovery

Operating margin is forecast to improve from 8.3% to 10.0%, supporting operating-income growth from \$3.85B to \$5.65B.

03 - Cash Flow & Valuation

Forecast FCF increases from \$3.8B in FY2027E to \$4.4B in FY2031E, supporting the DCF value of \$43.54.

Table 19. Key Forecast Metrics

Metric	FY2026A	FY2031E
Revenue	\$46.4B	\$56.5B
Gross Margin	42.9%	44.0%
Operating Margin	8.3%	10.0%
Operating Income	\$3.85B	\$5.65B
Net Income	\$3.07B	\$4.50B
FCF*	\$1.45B	\$4.45B

*FY2026A FCF shown above represents the DCF model framework figure; reported historical FY2026 FCF was approximately \$2.18B.

INVESTMENT CONCLUSION

The Base Case target of \$39.70 per share reflects a gradual recovery rather than a return to peak historical profitability. The valuation remains sensitive to the pace of revenue growth, operating-margin recovery, WACC and terminal growth. At the modeled assumptions, the valuation framework indicates 11.8% upside from the current price of \$35.51.